

(3)

Balance of Payments account is a statement of double entry system record of all economic transactions b/w residents of a country & the rest of the world carried out in a specific period of time. These transactions include payments for the country's exports, costs of goods, services & financial capital as well as financial transfers.

Free trade occurs when there are no artificial barriers put in place by governments to restrict the flow of goods & services between trading nations.

Advantages:-

Decreased production costs: Free trade enables countries to specialize in the prodn of those commodities in which they have a comparative advantage.

Increase in production efficiency.

PART - B

Module I

(A)

Law of demand states that demand

commodity rises when price falls & conversely, when other determinants of demand remain unchanged. It varies inversely with price.

Determinants of demand

Income → When income increases demand for

good increases,

price of commodity. A fall in price induces to consumers to buy more.

Taste & preference.

Price of related good.

Expected change in price.

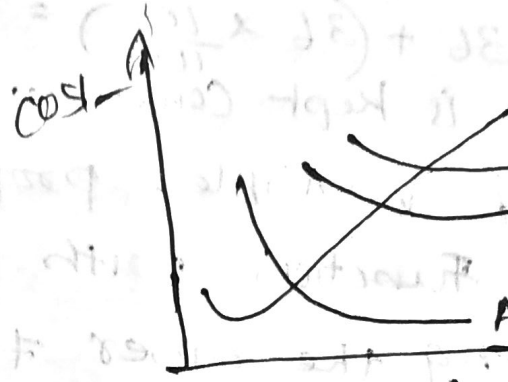
Popularised by Marshall

The law states that as the stock of a commodity increases with the consumer demand also increases.

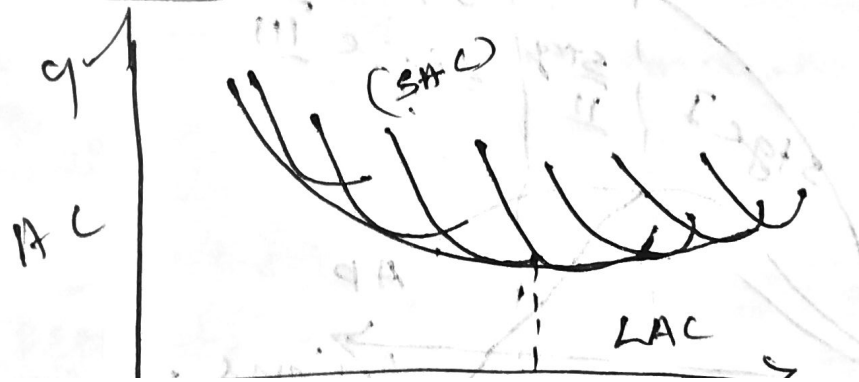
short run long run

Fixed Cost Variable Cost

$$TC = TFC + TVC$$



long run cost



a) $Q = 2L^{1/2} K^{1/2}$
 $L = 36$ $Q = 60$ units

$$60 = 2 \times 36^{1/2} \times K^{1/2}$$

$$\therefore K^{1/2} = 60 / (2 \times 36^{1/2}) = 5 \text{ units}$$

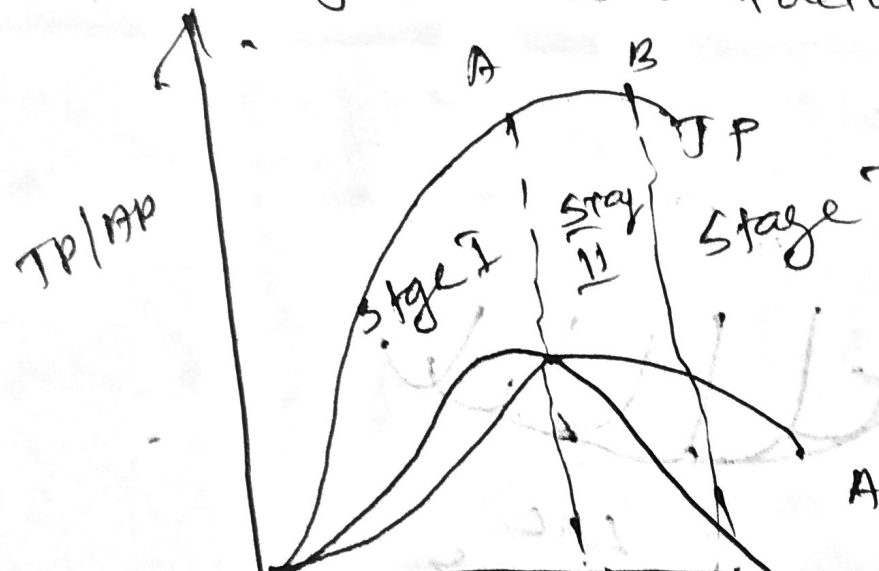
② $Q = 2L^{1/2} K^{1/2}$

labour increased 10%.

$$\therefore L = 36 + \left(36 \times \frac{10}{100} \right) = 39.6 \text{ units}$$

or capital is kept constant.

b) The Law of Variable Proportions Production Function with one variable, keeping the other factor



ge. ... Imperfect rivalry.
re. ... Relatively less elastic
AR & MR.

... Full control of price

recognises that oligopoly
in each other for their price-output
the enter into some sort of
the price & output levels.
is informal agreement is

ing is the process of setting price
ce set for a product should be

ing:- the amt of profit that
earn is added to obtain the price

pricing:- where the prices are
to a defined rate of return.
ing:- product is priced at a fixed
level.

ing:- priced at prevailing in market

c. dd curve. Firm has

Kink - b/c of competition.

Price rigidity - neither ^{price} cost ^p
increase or decrease in price
due to rivals action

17. a) Basically 3 methods.

1. Output method: - Economic
sectors. then gross product.

2. Income method: - Adding
earned by various factors
are engaged in each of output.

3. Expenditure method: - aggregate

• unnecessary expenditure on defence
•

• increase in taxes - Personal, corporate & commodity

• should be raised

• public debt

• Increase in savings

Repo rate is the rate at which the central bank of a country lends money to commercial banks in the event of any short fall of funds. Repo rate is used by monetary authorities to control inflation.

During inflation:- central banks increase repo rate.

The Heckscher-Ohlin theory says that countries will export products that use their abundant factors.